CONSUMER
INSIGHTS & ANALYTICS

Aura Audio
Marketing Strategy

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ANALYSIS **FRAMEWORK**

PRODUCT PERFORMANCE

- P&L: Volume, Value, Margin
- GM Variance Analysis
- Portfolio Range
- Brand Perception
- Price & Cogs
- Distribution
- Media Effectiveness

CUSTOMER BEHAVIOUR

- RFM Segmentation
- Clustering
- Life Time Value
- Marekting Experiment

BUSINESS SCENARIOS MODELING

Cumulative Effect +44% GM Growth

Priority 1 - High Value Customers +19% Net GM

Priority 2 - Mid Value Customers +17% Net GM

Priority 3 - Low Value Customers +8% Net GM

RECOMMENDATIONS

Focus on PRO in communication

Trade activation with discounts for GO

Stop overspend to Affiliate; focus on sitereview, email, social

Sharp positioning of PRO with aesthetic & quality differentiation

Launch mid-price range to build upgrade ladder portfolio

BUSINESS
PERFOMANCE

Aura Audio experienced a decline in volume (-4.36%), value (-10.58%) and gross margin (-2.1 pp) driven by two factors - shrinking of customer base (-6.41%) and switching customers to cheaper assortment that generates less margin.

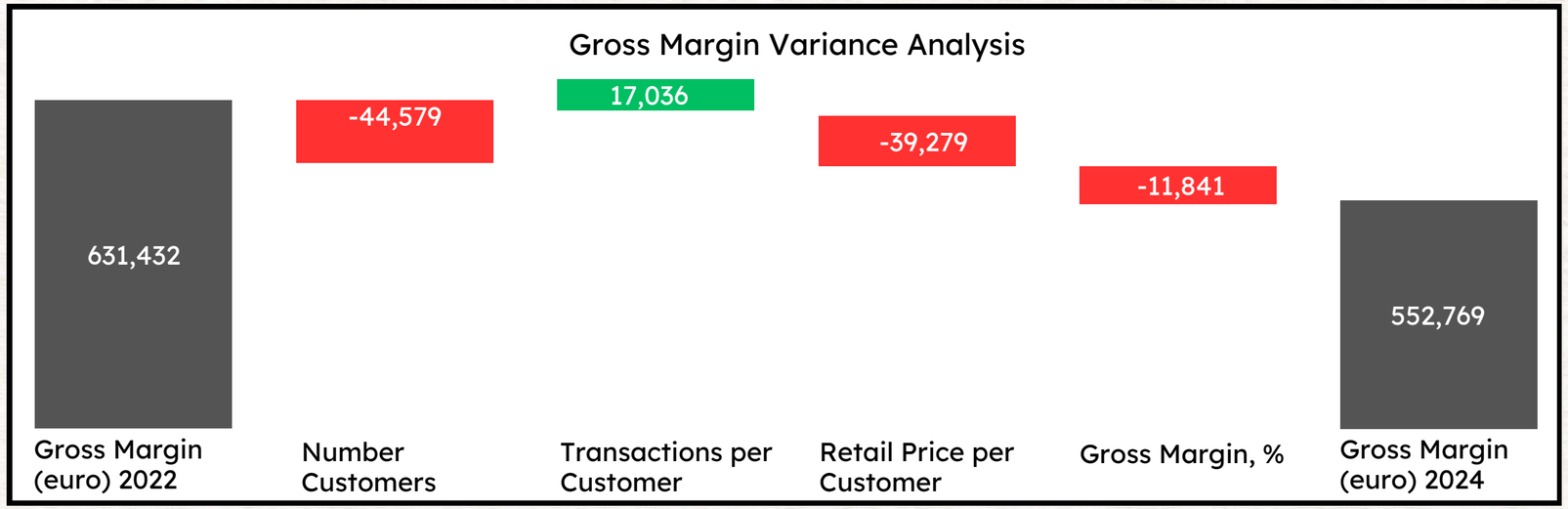
Volume decline (-4.36%) is observed over analyzed period that started in 2024 (-9.10%) after positive trend (+5.22%) in 2023.

The volume decline is driven by both - shrinking of a customer base (-5.33%) and number of sold items per customer (-5.03%) in 2024.

Value trend is even more negative with a double-digit decline (-10.58%) in 2024 vs 2022. A flat performance (+0.61%) in 2023 is followed by a significant decline (-11.12%) in 2024.

A decline of both value per customer (-4.46%) as well as gross margin (-6.45%) in 2024 vs 2022 signals about switching to cheaper and less marginal products in the range.

	2022	2023	YoY GR 2023 vs 2022, %	2024	YoY GR 2024 vs 2023, %	2022-2024	YoY GR 2024 vs 2022, %
Volume, items	2,453	2,581	5.22%	2,346	-9.10%	7,380	-4.36%
Transaction Unique	1,954	2,031	3.94%	1,826	-10.09%	5,811	-6.55%
Value, euro	1,270,200	1,277,920	0.61%	1,135,780	-11.12%	3,683,900	-10.58%
Gross Margin, euro	631,432	625,915	-0.87%	552,769	-11.69%	1,810,115	-12.46%
Gross Margin, %	49.71%	48.98%	-0.73%	48.67%	-0.31%	49.14%	-2.09%
Customer Base, people	1,233	1,219	-1.14%	1,154	-5.33%	3,606	-6.41%
Volume per Customer, items	1.58	1.67	5.13%	1.58	-5.03%	1.61	-0.15%
Value per Customer, euro	1,030	1,048	1.76%	984	-6.12%	1021	-4.46%
GM per Customer, euro	512	513	0.20%	479	-6.63%	502	-6.45%

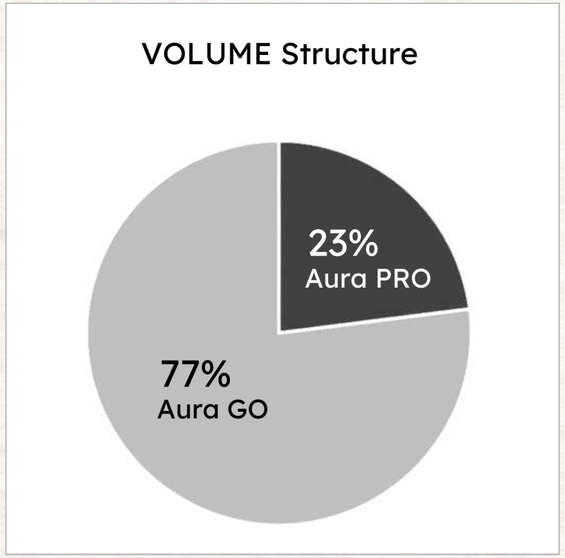


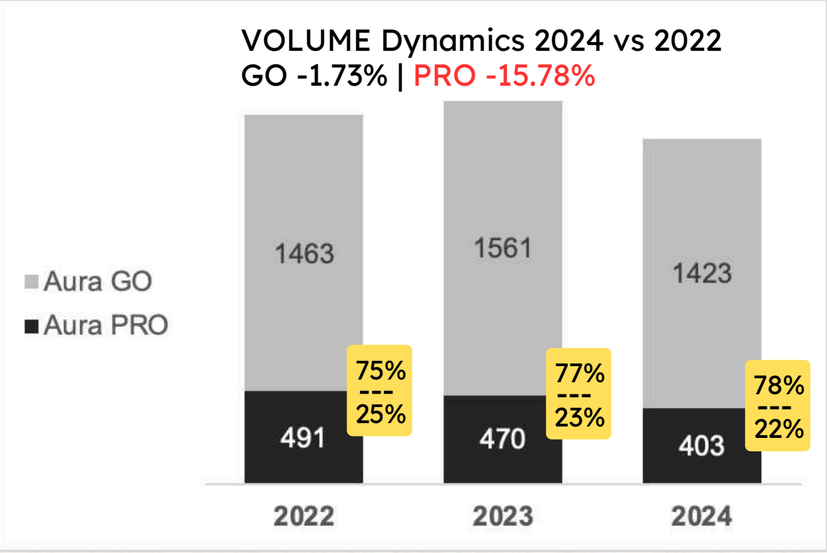
Additional Variables Created

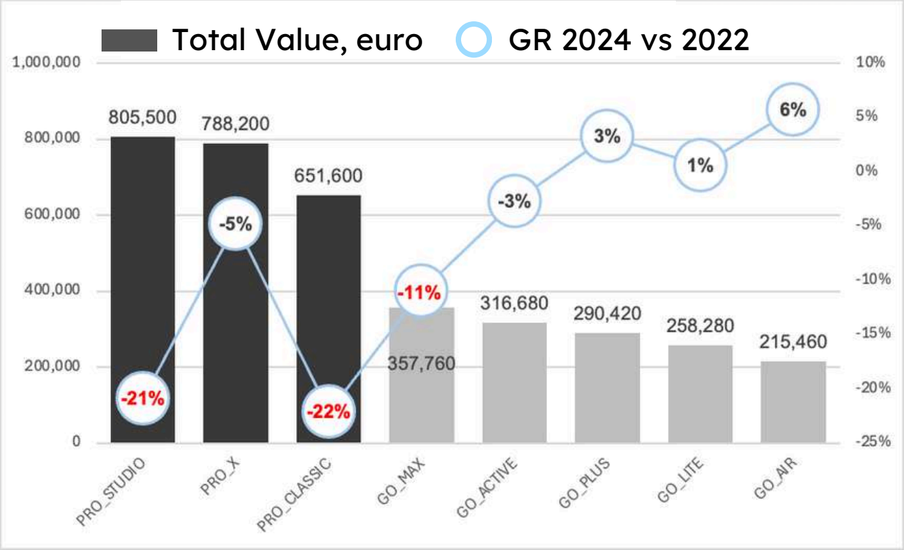
- transaction_year = cumulative data by transaction_date
- gross_margin_abs = retail_price - cogs
- gross_margin_% = gross_margin_abs / retail_price

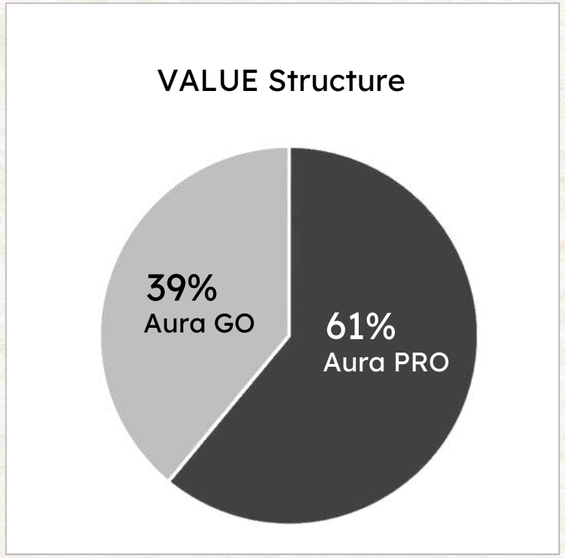
PORTFILIO
ANALYSIS

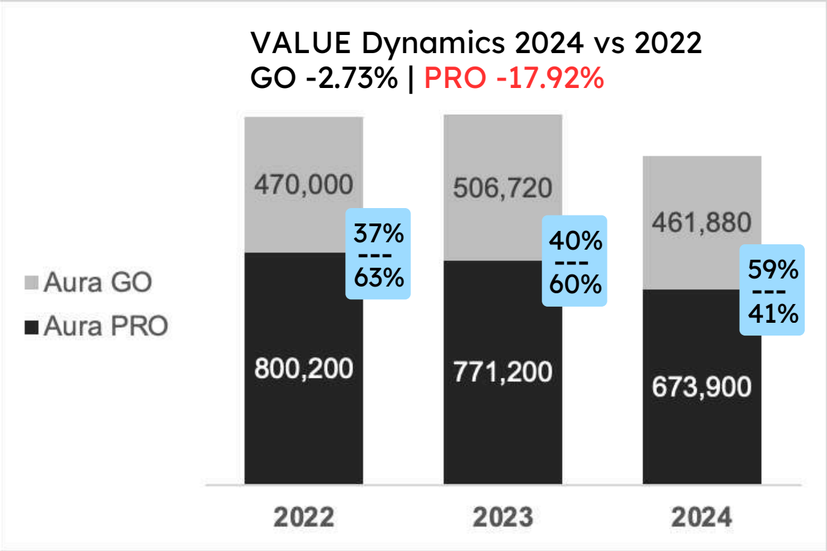
Aura PRO generates 23% of volume and 61% of total value sales; it is a major contributor to the gross margin decline (96% of total loss). Being a highly profitable range (PRO GM 60% vs GO 32%) decline of PRO negatively affected both - an absolute profit gain (euro) and business profitability (%) which is shifted to ecomony range (GO).

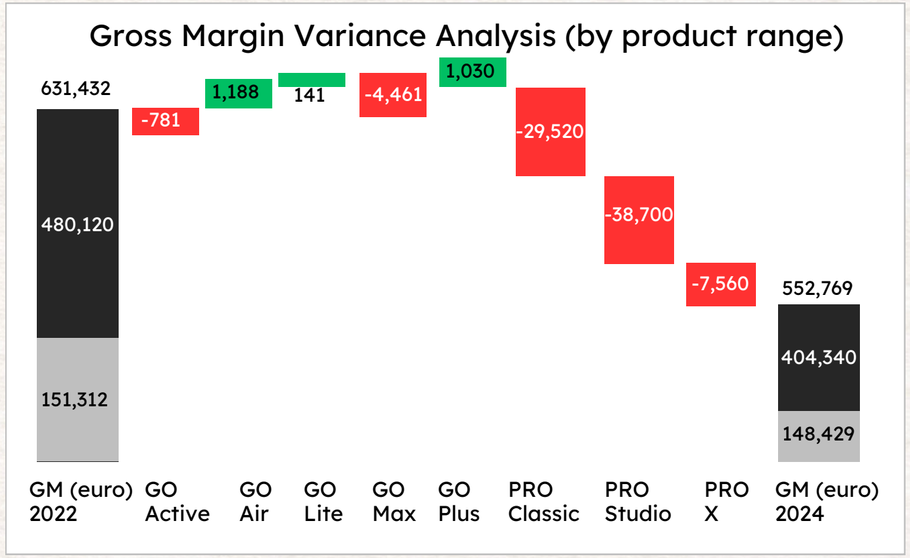












Additional Variables Created

- model_range = cumulative data by product_id

BRAND PERCEPTION ANALYSIS

Aura PRO range suffers from the decline of the Brand Affinity, particularly PRO_X and PRO_Classic SKUs. However, Churn Rate slightly improved. Customers' review semantics stays positive, but number of positive feedbacks as well as total number of reviews decline. GO Range has more stable brand perception.

TOP 5 Review Difference 2024 vs 2022	PRO_Classic	PRO_X	PRO_STUDIO
Finally understand what 'resolution' means—phenomenal upgrade.	4	8	-3
Soundstage is airy and natural; micro-detail retrieval is exceptional.	-5	-5	-15
Impressive instrument separation and neutral tuning—reference-level clarity.	-18	-10	6
Build quality is superb, comfort is solid for long sessions, imaging is precise.	-11	-8	-10
Sound is spacious with natural timbre; an endgame leap for me.	4	9	-4
Total number of reviews	**-20%**	**-10%**	**-17%**

Brand Affinity	2022	2023	2024	Average	GR 2024 vs 2022
PRO_STUDIO	4.18	4.12	4.10	4.14	-1.9%
PRO_X	4.22	4.10	4.08	4.13	-3.4%
PRO_CLASSIC	4.24	4.14	4.08	4.16	-3.8%
GO_MAX	3.39	3.35	3.37	3.37	-0.4%
GO_ACTIVE	3.38	3.38	3.39	3.38	0.1%
GO_PLUS	3.42	3.43	3.37	3.40	-1.5%
GO_LITE	3.36	3.40	3.36	3.37	0.1%
GO_AIR	3.39	3.43	3.34	3.39	-1.5%
Grand Total	**3.58**	**3.56**	**3.52**	**3.55**	**-1.9%**

TOP 5 Review Difference 2024 vs 2022	GO_All Range
Battery and comfort are fantastic; a perfect starter.	0
Easy pairing and decent ANC; wish the sound had a bit more punch.	10
Loved the portability and simple controls; good value.	-14
Great everyday set—comfortable, convenient, and stylish.	17
Very comfy with great battery life; sound is fine for commuting.	-5
Solid value for money; looks sleek and gets the job done.	1
Total number of reviews	**0%**

Churn Rate	2022	2023	2024	Average	GR 2024 vs 2022
PRO_STUDIO	16.7%	17.3%	16.1%	16.7%	-3.7%
PRO_X	18.2%	16.3%	14.8%	16.5%	-18.8%
PRO_CLASSIC	17.9%	16.8%	16.0%	17.0%	-10.8%
GO_MAX	14.3%	14.1%	14.1%	14.2%	-1.9%
GO_ACTIVE	14.1%	14.0%	14.0%	14.0%	-1.2%
GO_PLUS	14.3%	13.7%	14.0%	14.0%	-1.6%
GO_LITE	14.7%	13.9%	14.1%	14.2%	-4.0%
GO_AIR	14.2%	13.9%	14.3%	14.1%	1.3%
Grand Total	**15.1%**	**14.6%**	**14.4%**	**14.7%**	**-4.5%**

PRICE & COGS
CHECK

Launch of Mainstream Range is highly recommended at the price level ~ 700 euro (or repositioning one of premium SKUs to mid-price level). That allows to attract upper-medium income customers and keeps the portflio more consistent and build upper ladder strategy. Current portfolio has little changes to convert from GO to PRO due to significant price barrier.

The portfolio is strongly polarized by the Price Index with Premium range represented by three SKUs with price 1200-1500 euro (20% price variance which is significant for premium users) and Economy range with 5 SKUs (180-320 euro).
The Economy price range (an average price 250 euro) is 18% Price Index to the Premium range (1350 euro) . The economy range of 5 SKUs could be optimized to get more clarity on the its customer proposition and job-to-be done.

The Product Price Index and COGS remained stable throughout the analyzed period, therefore it did not have a significant impact on the business's profitability.

	product_id	2022	2023	2024	Overall Average Price
6	PRO_STUDIO	$1500.00	$1500.00	$1500.00	$1500.00
7	PRO_X	$1400.00	$1400.00	$1400.00	$1400.00
5	PRO_CLASSIC	$1200.00	$1200.00	$1200.00	$1200.00
3	GO_MAX	$320.00	$320.00	$320.00	$320.00
0	GO_ACTIVE	$280.00	$280.00	$280.00	$280.00
4	GO_PLUS	$260.00	$260.00	$260.00	$260.00
2	GO_LITE	$220.00	$220.00	$220.00	$220.00
1	GO_AIR	$180.00	$180.00	$180.00	$180.00

MEDIA MIX
EFFECTIVENESS

Media Mix is loosing its effectiveness, especially for Aura PRO. Increase of budget should be considered as well as focus on Affiliate and Email channels and precise investigation the reasosons why Social and ReviewSite lost their effectiveenss in 2024.

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Total number of contacts and Response Rate decreased by -4.4% and -2.1% accordingly in 2024 vs 2022.
For Auro PRO these KPIs dropped dramatically: contacts -16%, response rate -40%

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Media Mix budget does not reflects channel effectiveness - 27% allocated to the most expensive affiliate channel that brings oly 12% of contacts with slightely above average response rate (4% vs 3%).

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Aura PRO gets only 21% out of total contacts in 2024 that under-represents its fair share given 61% of total sales and 73% of gross margin.
Media mix is ineffective - only 10 references in 2024 (14% of of total) and 55% of contacts resulted in 0.73% of response rate.

	2022-2024			2022			2023			2024			2024 vs 2022								
	Reff Disc	Conctacts	RR, %	Reff Disc	Conctacts	RR, %	Reff Disc	Conctacts	RR, %	Reff Disc	Conctacts	RR, %	RR Effectiveness	Contacts	Contacts, % 2024	Contacts 2022-2024	Budget per Channel	Budget Structure	Cost per Contact	Cost per RR
Affiliate	30	746	4.0%	8	247	3.2%	10	277	3.6%	12	222	5.4%	66.9%	-10.1%	9%	12%	60,000	27%	80	2,000
Direct	29	1062	2.7%	13	366	3.6%	9	370	2.4%	7	326	2.1%	-39.5%	-10.9%	14%					
Email	48	1408	3.4%	18	427	4.2%	15	514	2.9%	15	467	3.2%	-23.8%	9.4%	20%	22%	20,000	9%	14	417
ReviewSite	22	941	2.3%	8	348	2.3%	10	315	3.2%	4	278	1.4%	-37.4%	-20.1%	12%	15%	10,000	5%	11	455
Search	46	1734	2.7%	11	563	2.0%	16	598	2.7%	19	573	3.3%	69.7%	1.8%	24%	27%	80,000	36%	46	1,739
Social	50	1489	3.4%	19	503	3.8%	16	507	3.2%	15	479	3.1%	-17.1%	-4.8%	20%	24%	50,000	23%	34	1,000
Grand Total	**225**	**7380**	**3.0%**	**77**	**2454**	**3.1%**	**76**	**2581**	**2.9%**	**72**	**2345**	**3.1%**	-2.1%	-4.4%	100%		**220,000**	100%	**30**	**978**

	2022-2024			2022			2023			2024			2024 vs 2022		
Aura GO	Reff Disc	Conctacts	RR, %	Reff Disc	Conctacts	RR, %	Reff Disc	Conctacts	RR, %	Reff Disc	Conctacts	RR, %	RR Effectiveness	Contacts	Contacts, % 2024
Affiliate	20	503	4.0%	4	163	2.5%	6	188	3.2%	10	152	6.6%	168.1%	-6.7%	8%
Direct	20	791	2.5%	10	273	3.7%	6	265	2.3%	4	253	1.6%	-56.8%	-7.3%	14%
Email	43	1217	3.5%	16	371	4.3%	15	455	3.3%	12	391	3.1%	-28.8%	5.4%	21%
ReviewSite	11	508	2.2%	5	170	2.9%	2	174	1.1%	4	164	2.4%	-17.1%	-3.5%	9%
Search	39	1417	2.8%	10	463	2.2%	12	484	2.5%	17	470	3.6%	67.5%	1.5%	25%
Social	39	1301	3.0%	12	430	2.8%	12	446	2.7%	15	425	3.5%	26.5%	-1.2%	23%
Grand Total	**172**	**5737**	**3.0%**	**57**	**1870**	**3.0%**	**53**	**2012**	**2.6%**	**62**	**1855**	**3.3%**	9.7%	-0.8%	100%
Budget Share, %		78%			76%			78%			79%				

	2022-2024			2022			2023			2024			2024 vs 2022		
Aura PRO	Reff Disc	Conctacts	RR, %	Reff Disc	Conctacts	RR, %	Reff Disc	Conctacts	RR, %	Reff Disc	Conctacts	RR, %	RR Effectiveness	Contacts	Contacts, % 2024
Affiliate	10	243	4.1%	4	84	4.8%	4	89	4.5%	2	70	2.9%	-40.0%	-16.7%	14%
Direct	9	271	3.3%	3	93	3.2%	3	105	2.9%	3	73	4.1%	27.4%	-21.5%	15%
Email	5	191	2.6%	2	56	3.6%		59	0.0%	3	76	3.9%	10.5%	35.7%	16%
ReviewSite	11	433	2.5%	3	178	1.7%	8	141	5.7%		114	0.0%	-100.0%	-36.0%	23%
Search	7	317	2.2%	1	100	1.0%	4	114	3.5%	2	103	1.9%	94.2%	3.0%	21%
Social	11	188	5.9%	7	73	9.6%	4	61	6.6%		54	0.0%	-100.0%	-26.0%	11%
Grand Total	**53**	**1643**	**3.2%**	**20**	**584**	**3.4%**	**23**	**569**	**4.0%**	**10**	**490**	**2.0%**	-40.4%	-16.1%	100%
Budget Share, %		22%			24%			22%			21%				

Marketing Experiment

Channel	Control	Influencer	Professional
Affiliate	852%	514%	779%
Email	2788%	2596%	2948%
ReviewSite	8145%	5331%	8400%
Search	1089%	773%	972%
Social	1120%	1042%	1085%
Total	1938%	1346%	1767%

RFM IMPLICATION

It was defines the groups of customers generating the biggest sales who should be in the communication focus:

- Active & Warm (75%) by Recency
  + At risk (19%) who should be address with "returning" campaign
- Loyal & Super-Loyal (65%) by Frequency
- VIP & High Value (55%) by Monetary Value
  + Mid value (39%)

Further investigation will reveal the purchase drivers relevant for each group.

Due to budget constrains and business priorities, these 3x4 segments will be consolidated into fewer segments based on cluster analysis.

75%

	R_Segment	MonetaryValue	% out of Total
0	Active	1319680	36%
1	Warm	1428960	39%
2	At Risk	685880	19%
3	Lost	249380	7%
Total	Total	3683900	100%

65%

	F_Segment	MonetaryValue	% out of Total
0	Loyal	1495180	41%
1	Occasional	1053080	29%
2	One-timers	257700	7%
3	Super-Loyal	877940	24%
Total	Total	3683900	100%

55%

	M_Segment	MonetaryValue	% out of Total
0	Low Value	232820	6%
1	Mid Value	1433860	39%
2	High Value	1382780	38%
3	VIP	634440	17%
Total	Total	3683900	100%

CUSTOMER CLUSTERS PRIORITIZATION

High and Mid Value Customers (comprising 76% of the total customer base) are identified as the most significant groups for further engagement. This is due to their frequent purchasing habits, higher spending levels, and recent transactions.

Clusters R/F/M Behavior Patterns

HIGH Value Customers (23%)

This group represents Active and Warm customers in terms of Recency, Loyal and Super Loyal with high Frequency of purchase and generates a significant amount of Monetary Value - VIP & High Value (60%) + Mid value (31%).

→ Targeting this group should a major focus of further communication.

Mid Value Customers (53%)

These customers are also skewed to Recent purchase - Active & Warm; they are Loyal & Occasional buyers in terms of Frequency and represents solid mainstream cluster from the Monetary Value prospects - High & Mid (67%) + Low Value (32%).

→ This customer group should be the second priority for activation.

Metric	High Value Customers	Mid Value Customers	Low Value Customers	Total
Customer Count	324	758	354	1,436
Active	54%	32%	0%	29%
Warm	41%	54%	0%	38%
At Risk	5%	14%	58%	23%
Lost	0%	0%	42%	10%
Super-Loyal	45%	0%	0%	10%
Loyal	55%	38%	10%	35%
Occasional	0%	52%	48%	39%
One-timers	0%	10%	42%	16%
VIP	19%	1%	1%	5%
High Value	49%	11%	12%	20%
Mid Value	31%	56%	52%	50%
Low Value	0%	32%	35%	26%

Additional Dataset Created

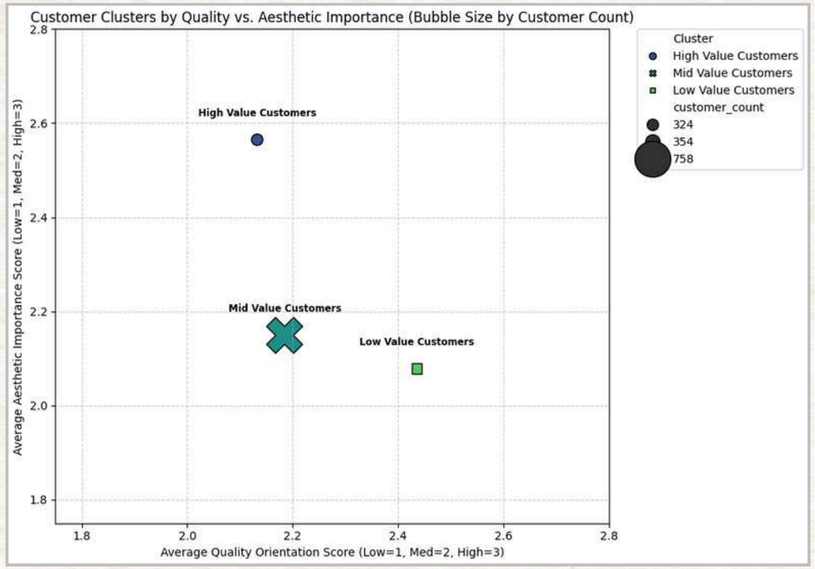
- merged_df dataset combines rfm_df (with clusters) and fd (with rest of descriptive valiables)

CUSTOMER CLUSTERS PROFILING

High Value Customer's group is highly prospective for further scaling due to its loyalty that stays stable over analyzed period. Its price Sensitivity Profile skewed to Low/Medium that makes these customers a potential audience for the premium PRO range.
Mid Value Customers have high Brand Affinity Score and Review Starts, but their Churn Rate is high as well. That could be driven by the Price Sensitivity - they have the lowest Average Income and the highest level of Price Sensitivity, that could be addressed by targeted discount program. EU region should be investigated additionally.
Low Value Group has the highest Income and the lowest Price Sensitivity accompanied by high Review Stars and decreasing Churn Rate → should be investigated deeper as a potential audience.

High Value Customer's are driven by Aesthetic of the product, they could by satisfied with a medium quality.
Mid Value Customers have an average expectations in terms of both Quality and Aesthetic aspects of the brand → so, this confirms that the price offers could be the most effective driver for this group).
Low Value Customers - have the highest expectations to the brand Quality. Looks like these customers could be potential audience (given their loyalty to the brand and high income) but they are not happy with the product quality → their expectations should be investigated additionally though in-depth interviewing (more expert content explaining the product characteristics could address this issue).

Quality & Aethtetic Importance



Income & Price Sensitivity

Metric	High Value Customers	Mid Value Customers	Low Value Customers	Total
Customer Count	324	758	354	1,436
Average Income	$63,412	$58,538	$66,589	$61,622
High	24%	67%	50%	53%
Low	9%	22%	46%	25%
Med	67%	11%	3%	22%

Loyalty Dynamics

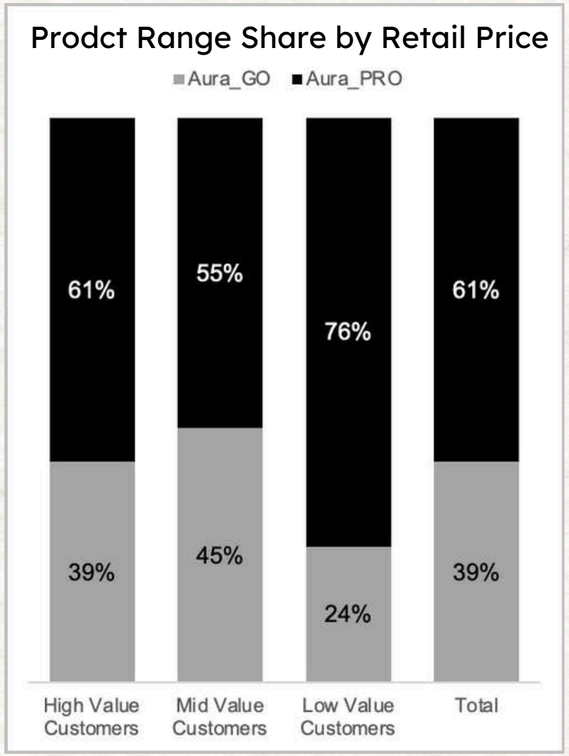
CUSTOMER CLUSTERS
PRODUCT CHOICE

The biggest revenue is generated by PRO range across all customer groups. It is recommended to focus most of communication and activation efforts on PRO Range and differentiate the PRO portfolio to meet the customers expectations:

→ PRO STUDIO - should be positioned as an aesthetic product for High Value Cluster and PRO-X should find a relevant aesthetic feature.
→ PRO X - as far as it is “a marvel of engineering” should cover quality territory as an exceptionally high quality product for Low Value Cluster (they have money, brand loyalty but under appreciate product quality; this message should be delivered through the reputable communication channels
→ PRO CLASSIC → could be used as an always-on discount proposition for Mid Value Customers (via direct messages) to overcome their high price barrier.

Milking strategy should be considered for Aura GO range - no massive communication via expensive media channels. The support should be focused on tactical on/off-line in-store activations. The halo effect of the premium range communication will build mental availability for economy GO range as well - “promote the best - sell the rest”. Among GO portfolio - MAX & ACTIVE SKUs should be in the focus as they generate biggest value and volume.

It is strongly recommended to launch mid price range (PRO STUDIO re-positioning could be considered) and optimise wide GO range to concentrate customer’s attention on clear product benefits.



TOP 5 SKUs by Retail Price by Clusters

HIGH Value Customers

product_id	total_retail_price	total_transactions	Retail Price
PRO_X	364,000	260	$1,400.00
PRO_STUDIO	333,000	222	$1,500.00
PRO_CLASSIC	292,800	244	$1,200.00
GO_MAX	159,680	499	$320.00
GO_ACTIVE	137,760	492	$280.00

MID Value Customers

product_id	total_retail_price	total_transactions	Retail Price
PRO_STUDIO	306,000	204	$1,500.00
PRO_X	256,200	183	$1,400.00
PRO_CLASSIC	217,200	181	$1,200.00
GO_MAX	160,320	501	$320.00
GO_ACTIVE	144,480	516	$280.00

LOW Value Customers

product_id	total_retail_price	total_transactions	Retail Price
PRO_X	168,000	120	$1,400.00
PRO_STUDIO	166,500	111	$1,500.00
PRO_CLASSIC	141,600	118	$1,200.00
GO_MAX	37,760	118	$320.00
GO_ACTIVE	34,440	123	$280.00

TOP 5 SKUs by Items Sold by Clusters

product_id	total_retail_price	total_transactions	Retail Price
GO_AIR	98,820	549	$180.00
GO_PLUS	134,160	516	$260.00
GO_LITE	113,300	515	$220.00
GO_MAX	159,680	499	$320.00
GO_ACTIVE	137,760	492	$280.00

product_id	total_retail_price	total_transactions	Retail Price
GO_LITE	118,360	538	$220.00
GO_AIR	95,400	530	$180.00
GO_ACTIVE	144,480	516	$280.00
GO_MAX	160,320	501	$320.00
GO_PLUS	127,400	490	$260.00

product_id	total_retail_price	total_transactions	Retail Price
GO_ACTIVE	34,440	123	$280.00
GO_LITE	26,620	121	$220.00
PRO_X	168,000	120	$1,400.00
GO_AIR	21,240	118	$180.00
GO_MAX	37,760	118	$320.00

RECOMMENDED SCENARIOS
IMPACT ON P&L

Business Modeling implies 3 steps of marketing strategy:

1. Focus on High Value Customers with 50% budget increase to invested into brand building activities through the most effective channels (email, social and sitereview) with message on aesthetic benefits of Aura PRO → result +19% Net Margin
2. Priority 2 - Mid Value Customers with relocation of the most share of budget from marketing to discounts communicated though direct to customers → result +17% Net Margin
3. Priority 3 - Low Value Customers which has potential to be returned via convincing in a high quality of Aura PRO; allocation on an extra budget for professional sitereview campaign and direct communication vie email could → bring +8% Net Margin

		Scenario 0		**Scenario 1** *Priority 1*		**Scenario 2** *Priority 2*		**Scenario 3** *Priority 3*	**Aggrigative**
Business Case	Clusters	Current Scenario - Do Nothing	*Assmptions*	Focus on High Value Customers	*Assmptions*	Discounts for Mid Value Customers	*Assmptions*	Activation Low Value Customer	Aggregated Growth Scenario
Size of Purchase	HIGH	$2,472	*20%*	$2,967		$2,472		$2,472	$2,967
	MID	$891		$891		$891		$891	$891
	LOW	$942		$942		$942	*50%*	$1,414	$1,414
	Revenue per Customer	$1,261							
Customer Base	HIGH	324	*20%*	389		324		324	389
	MID	758		758	*40%*	1061		758	1061
	LOW	354		354		354		354	354
	Total Customer Base	1436		1501		1739		1436	1804
Gross Margin	HIGH	$801,052		$1,153,515		$801,052		$801,052	$1,153,515
	MID	$675,475		$675,475	($70,000)	$875,665		$675,475	$875,665
	LOW	$333,589		$333,589		$333,589		$500,384	$500,384
	Total Gross Margin	$1,810,115		$2,162,579		$2,010,306		$1,976,911	$2,529,563
Mkt Budget	HIGH	$105,111	*$50,000*	$155,111		$105,111		$105,111	$155,111
	MID	$97,370		$97,370	($70,000)	$27,370		$97,370	$27,370
	LOW	$28,946		$28,946		$28,946	*$40,000*	$68,946	$68,946
	MKT Budget	$231,427		$281,427		$161,427		$271,427	$251,427
Net Margin	HIGH	$695,941		**$998,404**		$695,941		$695,941	$998,404
	MID	$578,105		$578,105		**$848,295**		$578,105	$848,295
	LOW	$304,643		$304,643		$304,643		**$431,438**	$431,438
	Total Net Margin	**$1,578,688**		**$1,881,152**		**$1,848,879**		**$1,705,484**	**$2,278,136**
Net GM Rate		***-12.5%***		***19%***		***17%***		***8%***	***44%***

RECOMMENDED SCENARIOS
IMPACT ON P&L

Priority 1 - High Value Customers. Marketing investment should be increased (+50%) and media mix efficiency improved (especially email, Social, SiteReview and which dropped in their response). Communication message and execution must highlight aesthetic attractiveness of the product (PRO must regain its focus in communication). Customers' Reviews should be stimulated (an assumption is these customers tend to demonstrative consumption, so they have to find the social approval of their choice easily. Regional program should be planned to fix weak performance in SW & W Regions.

Look a like audience should be targeted.

It is assumed that the above actions will increase both - size of purchase and customer base by 20% that resulted in +19% Net Margin Growth.

Priority 2 - Mid Value Customers. Activation should be focused on the price offers given the high price sensitivity of this group. It is recommended to re-locate 70k from marketing to discounts with direct to customer offer communication (email, CRM, NO massive discount promos). PRO Classic could play a role of "silently" discounted SKU in the premium PRO range. The allocated discount budget of 70k means 90 euro per person that is 35% discount to their average purchase size of 250 euro (additional test on the exact %% of price sensitivity must be done before a final confirmation of the discount depth). EU region should be investigated additionally to restore sales to at least an average level.

This targeted discount program of Premium PRO Classic product to the highly price sensitive customers will lead to significant increase of the customers' base (up to 40%). The size of purchase is assumed will stay stable as far as these people do not have sufficient budget to spend more, that impacted on positive Margin dynamics +17%.

Priority 3 - Low Value Customers. For Aura company these customers are defined as a Low Value (they rarely buy more that a year ago and consequently do not generate a solid Monetary Value). At the same time, these people have high Brand Affinity and their high income and low price sensitivity makes than an attractive group of potential customers. They are driven by high product quality, so it is recommended to develop a targeted communication campaign aimed to deliver the quality benefits of Aura PRO (what is should be X or Study to be defined in advance). Additional marketing budget (+40K) will be allocated to engage highly reputable expects to activate the brand and include t into consideration set. That will be a significant investment into re-integrating these customers and it is expected that their size of purchased increase + 50% that bring +8% Margin at total level. If this approach succeed it is recommended t0 scale is to a new potential customers with the look a like profile.

Portfolio Strategy:

It is recommended to focus most of the brand building communication on Aura PRO range - it generates 73% of Gross Margin, has high Brand Affinity and attracts High Value Customers.

Within PRO range the positioning of PRO X and PRO Studio must be clearly differentiated to address key customers needs - aesthetic or quality.

The mainstream range is an opportunity for Aura, given its current portfolio is polarized to high-end and low economy products that destroys the consistency of an umbrella brand perception. PRO CLASSIC could be considered for mainstream re-positioning.

The Aura GO range should be optimized - lessen number of SKUs and elaborate clear USP e.g. first step to PRO (just brand activation initiatives + halo effect from PRO brand building communication).

More Details on Analysis
Backup

RFM VARIABLES

Recency - very high deviation (above mean) indicates many passive/rejector consumers. A typical customer bought ~7 months ago, 75% have not purchased over a years.

→ there is high potential for re-activation campaign.

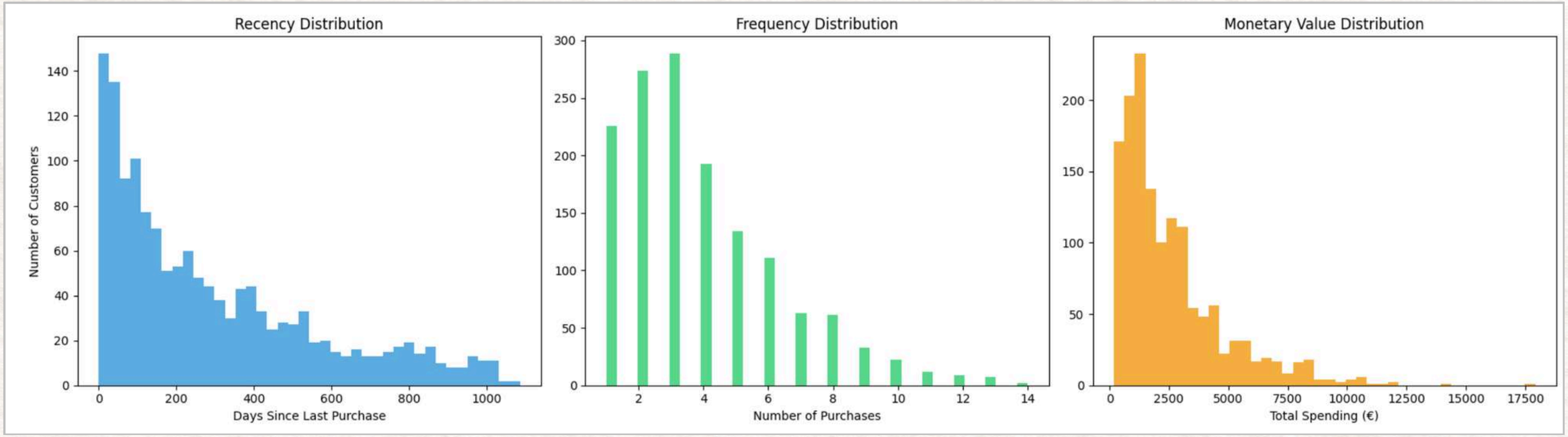
Frequency - overall a healthy pattern: a typical customer purchases 3 times over 2022-2024, and 75% of customers have purchased up to 5 times. There is also a small group of super-loyal customers with up to 14 purchases.

→ We should identify their profile and understand what drives their behaviour.

MonetaryValue - the typical spending level is €1,860, which is lower than the standard deviation, indicating the presence of customers who spend significantly more.

→ We need to identify these high-value customers and understand what drives their behaviour.

	Recency	Frequency	MonetaryValue
count	1436.000000	1436.000000	1436.000000
mean	294.160167	3.867688	2565.389972
std	267.784901	2.513082	2177.092566
min	0.000000	1.000000	180.000000
25%	76.000000	2.000000	1040.000000
50%	212.000000	3.000000	1860.000000
75%	443.250000	5.000000	3320.000000
max	1085.000000	14.000000	17920.000000



Additional Variables Created

- Recency = number of days between 2024-12-31 and the last purchase for each unique customer_id
- Frequency = count of purchases per each unique customer_id
- Monetary Value = retail_price multiplied by count of purchases for each unique customer_id

Additional Dataset Created

- rfm_df where data represented by customer_id

RFM SEGMENTATION

Customer Segmentation:

R_Segment by Recency

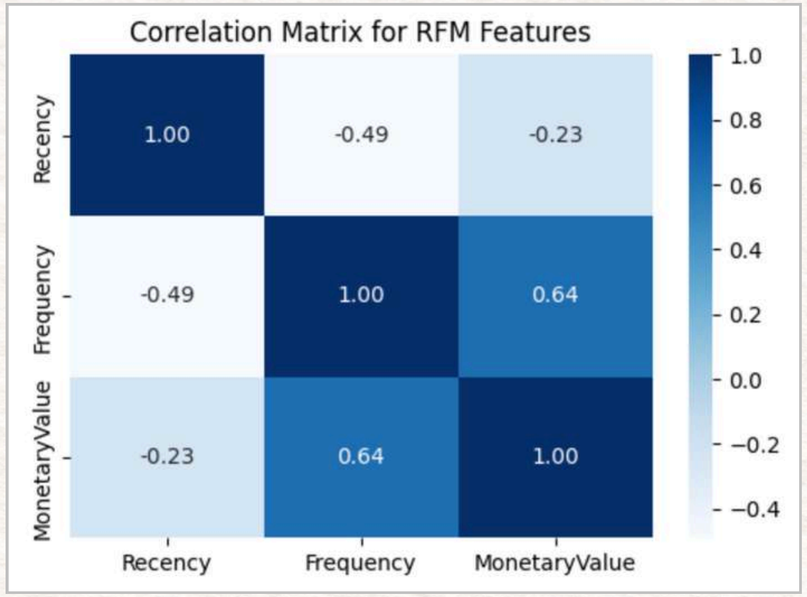
1) Active - Recency from 0 to 90 days
2) Warm - Recency from 91 to 365 days
3) At Risk - Recency from 366 to 730 days
4) Lost - Recency with 731 days and more

F_Segment by Frequency

1) One-timers - Frequency equal 1 means
2) Occasional - Frequency from 2 to 3
3) Loyal - Frequency from 4 to 7
4) Super Loyal - Frequency 8 and more

M_Segment by Monetary Value

1) Low Value - MonetaryValue is 1040 and less
2) Mid Value - MonetaryValue from 1041 to 3320
3) Hight Value - Mid Value from 3321 to 7080
4) VIP - MonetaryValue with 7080 and more

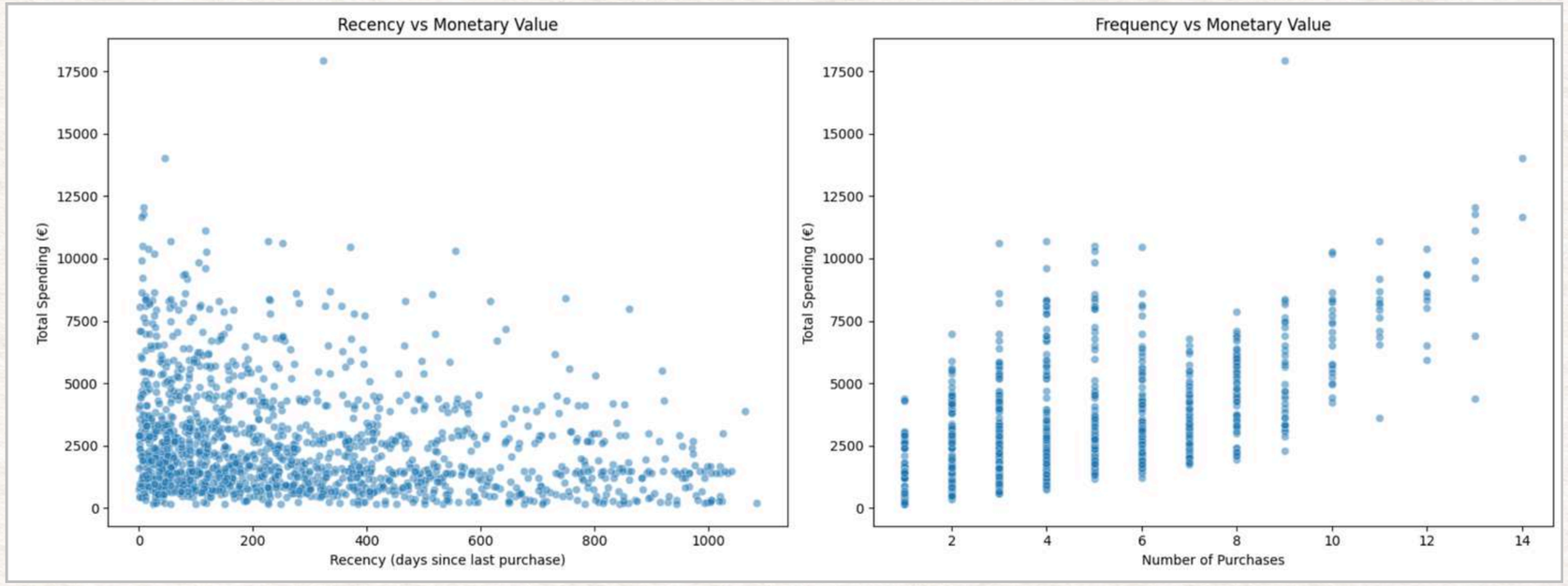


Recency <-> Frequency

The correlation between Recency and Frequency is 0.49, indicating a logical relationship: the more frequently customers make purchases, the higher the likelihood that they have bought recently. These are not duplicated variables (<0.8), so both will be included into segmentation.

MonetaryValue <-> Frequency

There is a strong correlation (0.64) between MonetaryValue and Frequency
→ We have to drive frequency to get revenue.



RFM CLUSTERIZATION

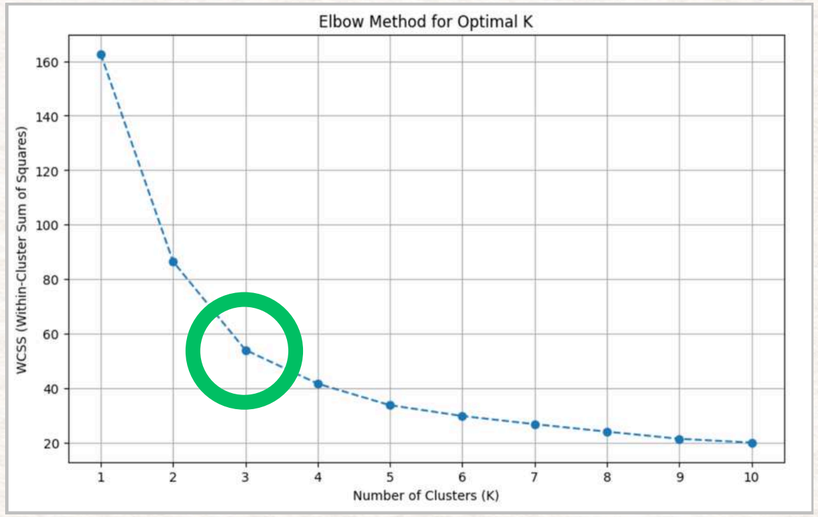
Defining number of clusters

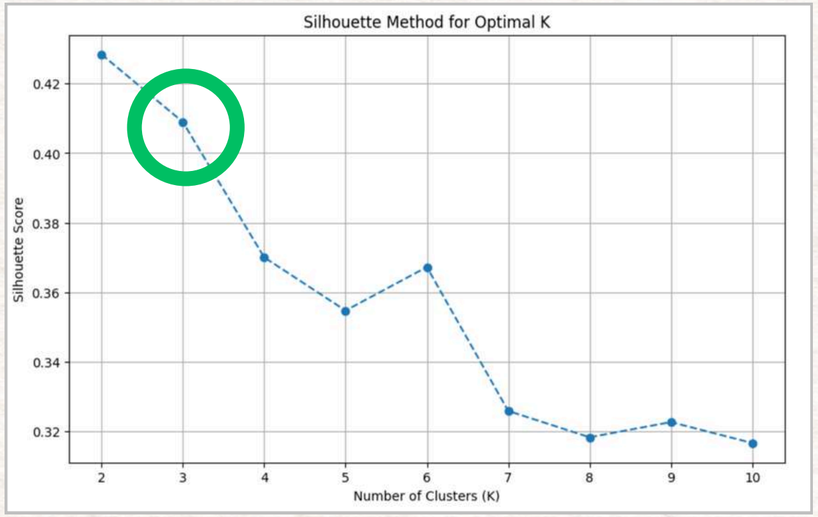
Based on Elbow and Silhouette methods, <u>three clusters</u> were defined as an optimal number.

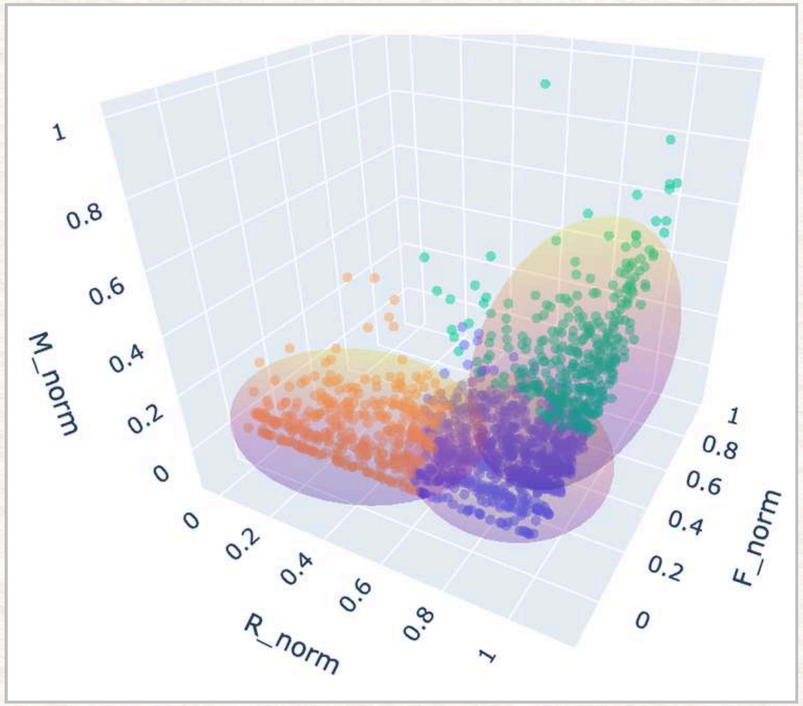
Primary interpretation of clustering

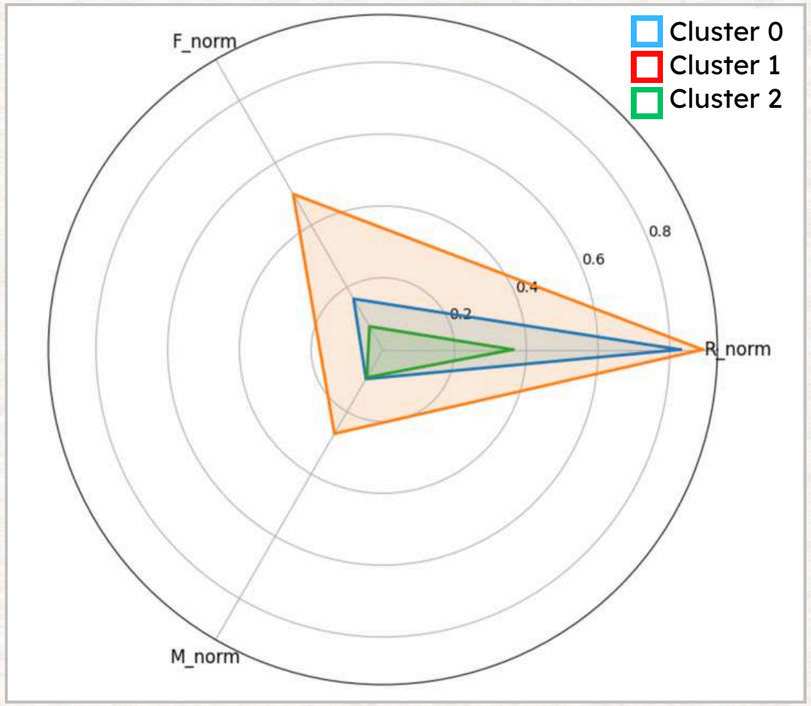
Three distinct clusters stand out due to their internal concentration and the distance separating them. Each cluster contains a sufficient number of counts and offers a reasonable interpretation based on recency, frequency, and monetary value perspectives.

Consequently, the next phase of analysis will focus on gaining a deeper understanding of the behavioral patterns, product preferences, and purchasing motivations of these three customer groups.









CUSTOMER LIFE TIME VALUE

The Customer Lifetime Value (CLTV) is significantly elevated, at four times the de facto profit, primarily influenced by a high Retention Rate of 80% to 88% and a relatively low Acquisition Cost, which accounts for only 6% of Revenue. However, this data does not seem to reflect practical implementation.

The relative effectiveness of CLTV across High, Mid, and Low Clusters supports the initial segmentation and clustering: the LTV for High-Value Customers is the greatest, while it is the lowest for Low-Value Customers.

Further marketing strategy recommendations will be based on the business results generated in back periods.

	Customer Count	Total REVENUE Individual	Total ITEMS Individual	Total COGS Individual	Total Cost Referral Discount	Total Cost Referring Channel	Total Acquisition Cost	Acquisition Cost per Customer	Total Gross Profit	Total Net Profit	Average Gross Profit per Customer	Average Net Profit per Customer	Average Retention Rate	Total CLTV (Gross)	Total CLTV (Net)	Average CLTV (Gross)	Average CLTV (Net)
HIGH Value Customers	324	$1,633,520	2,459	$832,468	$6,838	$98,273	$105,111	$324	$801,052	$695,941	$2,472	$2,148	88.35%	$3,526,926	$3,421,815	$10,886	$10,561
MID Value Customers	758	$1,425,360	2,398	$749,885	$3,676	$93,694	$97,370	$128	$675,475	$578,105	$891	$763	82.12%	$1,989,890	$1,892,520	$2,625	$2,497
LOW Value Customers	354	$625,020	697	$291,431	$914	$28,032	$28,946	$82	$333,589	$304,643	$942	$861	80.44%	$866,551	$837,605	$2,448	$2,366
Total	1,436	$3,683,900	5,554	$1,873,785	$11,428	$220,000	$231,428	$161	$1,810,115	$1,578,687	$1,261	$1,099	83.11%	$6,383,367	$6,151,939	$4,445	$4,284

Additional Variables Created

- Acquisition Cost Individual = sum of Referral Discount and Cost of Referral Channel
- Retention_Rate_Individual = 1 - Churn rate
- Gross_Profit_Individual = Revenue_Individual - COGS_Individual
- Operating_Profit_Individual = Gross_Profit_Individual - Cost of Referral Discount - Cost of Referring Channel

___

Customer LTV calculation = ((Gross Profit x Retention Rate) / (1+10% (from the task) - Retention Rate) - Cost of Acquisition

MEDIA MIX EFFECTIVENESS

referring_channel / experiment_condition	Affiliate	Direct	Email	ReviewSite	Search	Social	Total
Control	852%	0%	2,788%	8,145%	1,089%	1,120%	1,938%
Influencer	514%	0%	2,596%	5,331%	773%	1,042%	1,346%
Professional	779%	0%	2,948%	8,400%	972%	1,085%	1,767%
Total	665%	0%	2,731%	7,087%	883%	1,066%	1,574%

HIGH Value Customers

referring_channel	ROI_Influencer_vs_Control
Affiliate	-264%
Direct	N/A
Email	413%
ReviewSite	-1,227%
Search	-262%
Social	70%

referring_channel	ROI_Professional_vs_Control
Affiliate	-250%
Direct	N/A
Email	702%
ReviewSite	233%
Search	-172%
Social	162%

MID Value Customers

referring_channel	ROI_Influencer_vs_Control
Affiliate	-383%
Direct	N/A
Email	-638%
ReviewSite	-2,153%
Search	-181%
Social	-200%

referring_channel	ROI_Professional_vs_Control
Affiliate	-49%
Direct	N/A
Email	-323%
ReviewSite	889%
Search	26%
Social	-219%

LOW Value Customers

referring_channel	ROI_Influencer_vs_Control
Affiliate	-370%
Direct	N/A
Email	-834%
ReviewSite	-4,896%
Search	-943%
Social	-283%

referring_channel	ROI_Professional_vs_Control
Affiliate	186%
Direct	N/A
Email	515%
ReviewSite	-191%
Search	-449%
Social	-104%

DISTRIBUTION CHECK

___ Weak Performance Regions:

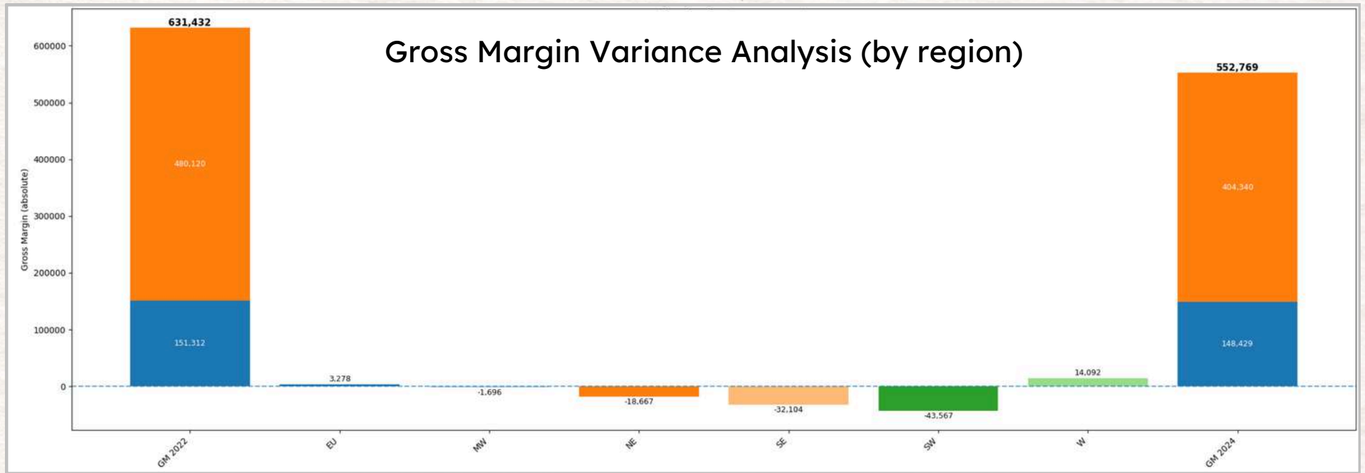
SW region demonstrates the weakest performance - the smallest sales across the whole range and the most significant decline of PRO Range over observed period.
→ It should be in the focus for deep dive in terms of the product availably and sufficient marketing support.
NE Region experienced the biggest decline in 2024 vs 2022; it is the biggest contributor of the PRO_Studio and Go Air SKUs drop.
SE Region is also at a declining trend driven mainly by PRO Range

___ Strong Performance Regions

W Region demonstrates a growth of sales across the whole range. Its experience should be taken on board, especially for PRO Studio.
EU Region should be investigated in terms of further potential - small share of sales but stable.

region_code	EU	MW	NE	SE	SW	W	Total
PRO_STUDIO	$114,000	$117,000	$141,000	$153,000	$141,000	$139,500	$805,500
PRO_X	$133,000	$141,400	$128,800	$121,800	$123,200	$140,000	$788,200
PRO_CLASSIC	$96,000	$109,200	$130,800	$112,800	$98,400	$104,400	$651,600
GO_MAX	$57,600	$65,280	$66,560	$65,920	$52,160	$50,240	$357,760
GO_ACTIVE	$46,480	$59,640	$59,080	$57,120	$42,560	$51,800	$316,680
GO_PLUS	$43,420	$53,820	$56,420	$55,380	$34,580	$46,800	$290,420
GO_LITE	$48,400	$43,120	$44,440	$46,640	$37,180	$38,500	$258,280
GO_AIR	$30,780	$45,540	$39,240	$39,240	$28,620	$32,040	$215,460
Total	$569,680	$635,000	$666,340	$651,900	$557,700	$603,280	$3,683,900
Region Structure	*15%*	*17%*	*18%*	*18%*	*15%*	*16%*	*100%*

Difference in transactions 2024 vs 2022

region_code	EU	MW	NE	SE	SW	W	Total
PRO_STUDIO	-2	-2	-23	-7	-17	11	-40
PRO_X	7	7	7	-14	-13	-2	-8
PRO_CLASSIC	4	-7	-7	-12	-17	-1	-40
GO_MAX	-4	-16	-7	4	-12	5	-30
GO_ACTIVE	-5	7	-5	-10	9	-1	-5
GO_PLUS	4	1	-8	0	-1	5	1
GO_LITE	-7	4	-3	8	-11	9	0
GO_AIR	-1	-2	-12	15	11	4	15
Total	-4	-8	-58	-16	-51	30	-107

Cluster / region_code	High Value Customers	Mid Value Customers	Low Value Customers	Total
EU	18%	13%	14%	14%
MW	19%	18%	18%	18%
NE	19%	18%	18%	18%
SE	18%	17%	18%	17%
SW	11%	16%	19%	16%
W	15%	17%	13%	16%